BNP (PA : BNP)

TMT & FIG

ESSEC Capital Investments

Agenda

Company Overview

Company Highlights

History: BNP Paribas traces its roots to several French banks founded during the industrial era, the earliest dating to 1848. BNP was created in 1966 by merging two state-owned lenders, while Paribas emerged as a private investment banking dynasty. The modern group was formed in 2000 through their merger, creating the Eurozone's largest bank. A pivotal expansion came in 2008 with the acquisition of Fortis' Belgian and Luxembourg operations during the financial crisis. Most recently, in 2025 BNP Paribas acquired AXA Investment Managers, vaulting it into the ranks of Europe's leading asset managers.

Strategy: The GTS 2025 strategic plan is built around consolidating European leadership and accelerating clients' transition to a sustainable economy, anchored on twin pillars of technology and sustainability. The group operates three divisions : Commercial Banking, Investment & Protection Services, and Corporate & Institutional Banking, with CIB now contributing over 45% of underlying revenues, reflecting a deliberate shift toward higher-margin, fee-generating businesses.
In March 2026, BNP unveiled a new 2030 Strategic Plan with further scaled ambitions in asset management

Corporate Finance Transactions: BNP Paribas posted revenues of €51.22 billion and net income of €12.225 billion in 2025, against a balance sheet of €2.793 trillion. The defining deal of the cycle was the €5.1 billion acquisition of AXA Investment Managers, completed July 2025, creating a platform with over €1.5 trillion in AUM and establishing BNP as Europe's leader in long-term savings management for insurers and pension funds. On the divestment side, BNP sold its 25% stake in AG Insurance for €1.9 billion and agreed to divest its 67% stake in Moroccan subsidiary BMCI, reflecting disciplined pruning of non-core assets.

Ownership: Ownership is dispersed across institutional investors, the Belgian State, and employee stakes, with no single party exercising unilateral control. The largest identifiable shareholders are BlackRock at ~6.01%, the Belgian State (via SFPI) at 5.60%, and Amundi at 4.95%. For 2025, the board recommended a final dividend of €2.57 per share, alongside a €1.15 billion share buyback programme, consistent with its policy of returning ~60% of profit to shareholders

Valuation & Share Performance

Key Valuation Statistics (€)

Enterprise Value	**98bn**	**Revenue (FY25)**	**51.2bn**
Market Cap	**101bn**	**EBITDA (FY25)**	**19.8bn**
P/E	**8x**	EBITDA Margin '25	**38.7%**
CET1 Capital	**132bn**	CET1 Ratio	**12.6%**
Cash	**1320bn**	Total Debt	**756bn**

Share Price | **Current : €92.52** | **High/Low : €97.35/ €65.12**

BNP's Business Model

Operating Segments

CPBS - Commercial, Personal Banking & Services : The client foundation (providing 52% of revenue) is the group's largest division, serving individuals, SMEs, and corporates across the eurozone and growth markets. It combines traditional Commercial & Personal Banking with Specialised Businesses (Arval, Personal Finance, Leasing Solutions). After 2 years of margin pressure from the inverted yield curve, CPBS entered a structurally favourable rate environment in Q4 2025, with curve normalisation projected to add +1 point to group RoTE by 2028.

Corporate & Investment Banking: Providing 37% of revenue, the CIB serves large corporates, financial institutions, and sovereigns through Global Banking, Global Markets, and Securities Services. It posted a record FY2025 with revenues of €19.0bn (+5.6%), gaining market share across EMEA and the Americas. At a RoNE of 22.2% and cost-income ratio of ~55%, it is the group's most capital-efficient division and primary earnings driver in volatile markets.

Investment & Protection Services : IPS was transformed by the €5.1bn acquisition of AXA Investment Managers in July 2025, creating a platform with €1.5tn in AUM and establishing BNP as Europe's leader in long-term savings management. Operating across Asset Management, Insurance, and Wealth Management, IPS carries the group's highest RoNE at 23.7% and is targeted to reach 20% of group pre-tax profit in the coming years.

Competitors

Segment	Key Rivals	BNP's Differentiation
Commercial, Personal Banking & Services	Crédit Agricole, Société Générale, ING	**Scale:** 4 eurozone commercial banks (France, Belgium, Italy, Luxembourg) under one integrated model, cross-selling CIB and IPS products to 33M+ retail clients
Corporate & Investment Banking	J.P. Morgan, Goldman Sachs, Deutsche Bank	**Geography:** 1st European invesment bank in EMEA, with an unique ability to bridge institutional and corporate clients via its model
Investment & Protection Services	Amundi, Allianz, AXA	**Platform scale:** €1.5tn AUM post-AXA IM acquisition making BNP Europe's largest long-term savings manager, distributed through its own captive banking and insurance networks

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Market Trends in the Sector

Short-Term Trends :

Resilient Asset Quality: Cost of Risk remains stable despite macro uncertainty. Labor market strength in core markets supports retail loan performance, avoiding the hard-landing scenario

NIM Normalization & Rate Pivot: Transition from rate tailwinds to peak Net Interest Margins (NIM). Banks are shifting focus toward fee-based income (Asset Management, Insurance) to hedge against central bank rate cuts.

Consolidation and M&A: Tactical M&A to achieve scale (e.g., BNP's acquisition of AXA IM, UniCredit's cross-border moves) aimed at "Capital Light" growth models.

Medium-Term Trends :t

Shift from pilot use cases to full-scale **GenAI** deployment. US money centers (like JPM) outspend EU peers significantly, forcing EU banks to optimize IT architectures to remain competitive.

CRR3/CRD6 is now live in the EU. The output floor will bring a growing number of institutions, forcing capital reallocation across business lines

A Sustainable Finance Leadership with a mandatory ESG reporting (CSRD) and a €250Bn+ target for low-carbon transition financing, positioning European Tier 1 banks as global ESG leaders.

Competitive Landscape

Company	EV/NAV	Strategy	Structure
BNP Paribas	0,86	"European Champion" – Cross-selling via integrated CIB/Retail model. Focus on capital-light wealth management growth.	Universal Bank diversified across 63 countries, leader in EU Corporate and institutional Banking (CIB)
JP Morgan	2,87	Unmatched scale with $15Bn+ annual tech spend. Market-share	Global money center bank: strong focus on IT,
HSBC	1,97	"Bridge to Asia" Pivot to high-growth Asian wealth markets. Significant divestment of non-core Western retail assets	Global Wealth & Transactional Banking; strong focus on trade finance corridors.
Société Générale	0,8	Restructuring & Simplify – Asset disposals and cost discipline to improve RoTE. Focus on leading CIB derivatives	Focused Universal Bank: Strong in French retail and specialized financial services.

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Investment Thesis

Diversified, fee-rich revenue franchise

- BNP Paribas ranks top-3 in European FICC, providing structural CIB income largely insensitive to rate cuts.
- Asset management (BNP AM) and insurance (BNP Cardif) generate €4bn+ in annual fees, cushioning retail margin compression.
- Retail mix shifting toward fee-based advisory, deposit margin stabilising.

Capital strength & shareholder returns

- CET1 ratio 13%+, well above the regulatory MDA threshold providing significant capital optionality for buybacks and M&A.
- Active share buyback programme combined with a growing dividend yield positions BNP among the highest total-return banks in Europe (7%+ TSY).
- Disciplined cost of risk, limited legacy NPL exposure vs peers

Earnings compounding through GUP plan

- €1bn+ gross cost savings by 2026 drive positive operating leverage; ROTE target of >11.5% remains a clear re-rating catalyst.
- Current P/BV of 0.6x represents a structural discount to franchise quality management's execution track record supports convergence toward peers at 0.8-1.0x.
- Trading at 0.6x P/BV discount to book undervalues franchise quality

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DCF Model Output

Key Assumptions	
Risk-free rate (10Y OAT)	3.60%
Equity risk premium	5.50%
Beta (levered)	1.15
Cost of Equity (Ke)	**9.93%**
Terminal growth rate (g)	2.00%
Forecast horizon	2026E – 2030E
Shares outstanding (m)	1,099
Current share price (€)	89.93

FCFE Projection & Present Value					
EURm	2026E	2027E	2028E	2029E	2030E
Total Revenue	54,283	56,553	59,036	60,217	61,421
Net Income	12,567	13,933	14,993	15,355	15,662
Net margin %	*23.2%*	*24.6%*	*25.4%*	*25.5%*	*25.5%*
(–) Δ Equity for growth	(5,184)	(5,672)	(6,135)	(6,504)	(6,813)
Free Cash Flow to Equity	***7,776***	***8,508***	***9,203***	***9,756***	***10,219***
Discount factor	*0.9097*	*0.8276*	*0.7529*	*0.6849*	*0.6230*
PV of FCFE	**7,074**	**7,041**	**6,929**	**6,681**	**6,367**

Valuation Bridge	
Sum of PV of explicit FCFE	34,092
(+) PV of Terminal Value	81,947
Equity Value (EURm)	**116,040**
Shares outstanding (m)	1,099
Implied share price (€)	**105.59**
Current share price (€)	89.93
Implied upside / (downside)	**17.4%**

Terminal Value Detail	
Method	Gordon Growth
Terminal FCFE × (1+g)	10,424
Ke – g	7.93%
Terminal Value (EURm)	131,528
PV of Terminal Value (EURm)	81,947
TV as % of Equity Value	**70.6%**
DDM cross-check (€/share)	*87.99*

Sensitivity Analysis — Implied Share Price (€)

Ke \ g	1.00%	1.50%	2.00%	2.50%	3.00%
8.50%	115.52	121.91	**129.28**	137.89	148.05
9.25%	104.73	109.84	**115.65**	122.32	130.05
9.93%	**96.58**	**100.82**	**105.59**	**111.00**	**117.19**
10.75%	88.16	91.59	**95.40**	99.68	104.52
11.50%	81.65	84.52	**87.69**	91.20	95.14

DDM Model Output

DDM ASSUMPTIONS

Cost of Equity (Ke)	9.93%
Terminal growth (g)	2.00%
Dividend payout ratio	50.0%
Shares outstanding (m)	1,099
Current share price (€)	89.93
Methodology	2-Stage Gordon
Explicit forecast horizon	ears (2026E–2030E)

STAGE 1: DIVIDEND FORECAST & PV

(EUR m)	2026E	2027E	2028E	2029E	2030E
Net Income	12,960	14,181	15,338	16,259	17,032
Total Dividends (50% payout)	6,480	7,090	7,669	8,130	8,516
DPS (€)	*5.90*	*6.54*	*7.18*	*7.73*	*8.24*
Discount factor	*0.9097*	*0.8276*	*0.7529*	*0.6849*	*0.6230*
PV of Dividends	**5,895**	**5,868**	**5,774**	**5,568**	**5,306**

VALUATION BRIDGE

Sum of PV of explicit dividends	28,410
(+) PV of Terminal Value	68,289
Equity Value	**96,700**
(÷) Shares outstanding (m)	1,099
Implied share price (€)	**87.99**
Current share price (€)	89.93
Upside / (Downside)	**(2.2%)**
Implied dividend yield 2026E	0.065565306

TERMINAL VALUE BUILD

Terminal year (2030E) dividend	8,516
Year 1 of TV (2031E) dividend = D_6	8,686
TV at end of Year 5 = D_6 / (Ke – g)	109,606
Year 5 discount factor	*0.6230*
PV of Terminal Value	**68,289**
TV as % of Equity Value	*70.6%*
Implied P/E (current price)	*7.6x*
Reason DDM < FCFE-DCF	*Excl. buybacks*

CROSS-METHOD VALUATION COMPARISON

Method	Implied (€)	Upside	Captures
Equity-DCF (FCFE)	105.59	17.4%	*Total capital return (dividends + buybacks)*
DDM (Dividends only)	87.99	(2.2%)	*Cash dividends only (50% payout)*
Average	**96.79**	**7.6%**	***Blended valuation reference***
Current market price (€)	*89.93*	—	*Trading benchmark*

DDM SENSITIVITY — IMPLIED SHARE PRICE (€) | Cost of Equity (Ke) × Terminal Growth (g)

Ke ╲ g	1.0%	1.5%	2.0%	2.5%	3.0%
8.50%	96.27	101.59	107.74	114.91	123.38
9.25%	87.28	91.53	96.37	101.93	108.38
9.93%	80.49	84.01	**87.99**	92.50	97.66
10.75%	73.47	76.32	79.50	83.07	87.10
11.50%	68.05	70.43	73.07	76.00	79.28

Comparables Analysis

Company	Mkt Cap	Share Px	LTM EPS	NTM EPS	TBV/Sh	P / E (LTM)	P / E (NTM)	P / TBV
Société Générale Société anonyme (ENXTPA:GLE	61,134	83.74	8.20	9.31	104.92	10.2x	9.0x	0.80x
Crédit Agricole S.A. (ENXTPA:ACA)	61,473	20.32	2.48	2.64	22.83	8.2x	7.7x	0.89x
HSBC Holdings plc (LSE:HSBA)	318,185	18.55	1.21	1.75	9.43	15.3x	10.6x	1.97x
Banco Santander, S.A. (BME:SAN)	182,024	12.64	0.97	1.25	7.09	13.0x	10.1x	1.78x
Intesa Sanpaolo S.p.A. (BIT:ISP)	116,684	6.69	0.63	0.68	3.94	10.6x	9.8x	1.70x
UniCredit S.p.A. (BIT:UCG)	129,289	86.29	8.46	8.83	50.98	10.2x	9.8x	1.69x
Barclays PLC (LSE:BARC)	81,709	6.02	0.58	0.74	5.47	10.4x	8.1x	1.10x
Lloyds Banking Group plc (LSE:LLOY)	78,159	1.34	0.10	0.14	1.11	13.4x	9.6x	1.21x
Banco Bilbao Vizcaya Argentaria, S.A. (BME:BBV/	130,715	23.40	2.12	2.39	10.60	11.0x	9.8x	2.21x
NatWest Group plc (LSE:NWG)	62,758	7.89	0.94	1.02	5.40	8.4x	7.7x	1.46x
High	*318,185*	*86.29*	*8.46*	*9.31*	*104.92*	*15.3x*	*10.6x*	*2.21x*
Mean	**122,213**	**26.69**	**2.57**	**2.88**	**22.18**	**11.1x**	**9.2x**	**1.48x**
Median	**99,196**	**15.60**	**1.09**	**1.50**	**8.26**	**10.5x**	**9.7x**	**1.58x**
Low	*61,134*	*1.34*	*0.10*	*0.14*	*1.11*	*8.2x*	*7.7x*	*0.80x*
BNP Paribas SA (ENXTPA:BNP)	**118,425**	**107.76**	**12.49**	**13.79**	**125.25**	**8.6x**	**7.8x**	**0.86x**

IMPLIED VALUATION — PEER MULTIPLES APPLIED TO BNP

Methodology	BNP Metric	Low (Min)	Median	Mean	High (Max)	vs Current
P / E (LTM) × BNP LTM EPS	*12.49*	102.34	**131.13**	138.39	191.48	21.7%
P / E (NTM) × BNP NTM EPS	*13.79*	106.14	**133.38**	127.21	146.17	23.8%
P / TBV × BNP TBV/Share *	*125.25*	99.97	**141.18**	185.43	276.50	31.0%
Median (blended)		**102.81**	**135.23**	**150.34**	**204.72**	**25.5%**

Analyst Consensus

CONSENSUS SNAPSHOT

Metric	Value
Consensus recommendation	**Outperform / Buy**
Number of analysts	19
Reference share price (€)	89.93
Mean target price (€)	**105.54**
Implied upside / (downside) — mean	**+17.4%**
High target price (€)	127.00
Implied upside — high	*+41.2%*
Low target price (€)	88.80
Implied downside — low	*-1.3%*
Spread high vs. low	38.20 €

RECOMMENDATION BREAKDOWN

<table>
<tr><th>Rating</th><th># Analysts</th><th>% of total</th><th>Visual</th></tr>
<tr><td>Buy / Outperform</td><td>14</td><td>73.7%</td><td>||||||||||||||||||||||</td></tr>
<tr><td>Hold / Neutral</td><td>4</td><td>21.1%</td><td>||||||</td></tr>
<tr><td>Sell / Underperform</td><td>1</td><td>5.3%</td><td>||</td></tr>
<tr><td>Total</td><td>19</td><td>100.0%</td><td></td></tr>
</table>

PRICE TARGET RANGE vs. CURRENT

Scenario	Target (€)	. current	Distribution (Low — Mean — Hig
Bull case (high TP)	127.00	+41.2%	▲ high
Base case (mean TP)	**105.54**	**+17.4%**	█ **mean consensus**
Bear case (low TP)	88.80	-1.3%	▼ low
Current share price	*89.93*	—	○ *market*

KEY TAKEAWAYS

- Consensus is constructive: 74% of analysts rate the stock Buy/Outperform (14 of 19).
- Mean target price of €105.54 implies +17.4% upside vs. current €89.93.
- Target range spans €88.80 — €127.00 (+41.2% high / -1.3% low), reflecting healthy dispersion.
- Consensus base case sits between our DCF and Comps valuations — see DCF Slide and Comps Slide for cross-check.

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Catalysts Considerations

Legend

High Risk | Medium Risk | Low Risk

Share Buyback Acceleration: With CET1 at 12.8%, excess capital above the threshold will be fully redistributed to shareholders annually

ROTE Expansion Trajectory: The group targets a 12% ROTE in 2026 converging towards best-in-class European peers.

CIB Cycle Recovery: A rebound in ECM and M&A activity in 2026 would translate directly into high-margin revenue uplift

Cost/Income Ratio Improvement: BNP targets a 61% cost/income ratio in 2026 and 58% by 2028

BNP's scale and capital position make it a natural reference point in any cross-border consolidation scenario, offering a potential re-rating catalyst as the **European banking union thesis** gains political traction.

Impact: High / Low

Probability: Low / High

Risk Considerations

Legend

High Risk | Medium Risk | Low Risk

CIB Revenue Cyclicality: FICC and Equities revenues are inherently volatile and represent 35% of group revenues

Credit Cycle Deterioration: A European recession could rapidly accelerate NPL formation across retail and SME loan books in France

Basel IV & O-SII Capital Pressure: The ECB's April 2026 O-SII framework update requires an additional 50bps CET1 buffer (phased in 2027–2028)

French Retail Structural Headwinds: Sluggish loan demand, and digital competition continue to compress NII in BNP's core domestic retail franchise

Litigation & Conduct Risk: As a G-SIB, BNP carries persistent tail risk from legacy and ongoing regulatory investigations

NII Normalization from ECB Easing: As the ECB rate cycle reverses, the NII tailwind from 2022–2024 will gradually fade

Low Impact High

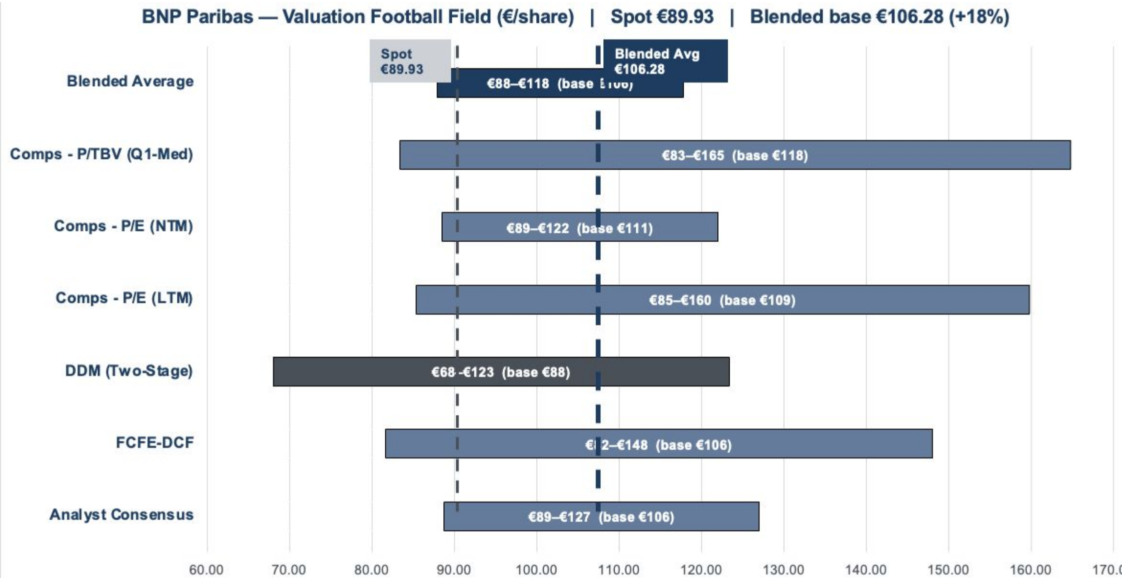
Low Probability High

Agenda

Price Target & Recommendation

BUY

BNP Paribas (PA: BNP) | Spot €89.93 | Blended Target **€106.28** | Upside **+18.2%**



VALUATION METHODS — IMPLIED SHARE PRICE (€)

Method	Low (€)	Base (€)	High (€)	Base upside
Analyst Consensus (target price)	88.80	**105.54**	127.00	+17.4%
FCFE-DCF (Ke sensitivity)	81.65	**105.59**	148.05	+17.4%
DDM (Two-Stage, Ke sensitivity)	68.05	**87.99**	123.38	-2.2%
Trading Comps — P/E (LTM)	85.40	**109.44**	159.80	+21.7%
Trading Comps — P/E (NTM)	88.58	**111.31**	121.99	+23.8%
Trading Comps — P/TBV (Q1–Median)	83.43	**117.82**	164.82	+31.0%
Blended	87.99	**106.28**	117.82	**+18.2%**

Catalysts & Risks

Key Catalysts

- Share buyback acceleration as excess CET1 is redistributed
- CIB cycle recovery driving ECM and M&A fee uplift in 2026

Key Risks

- CIB revenue cyclicality (FICC + Equities are 35% of group)
- Basel IV / O-SII capital pressure requiring +50bps CET1 buffer
- Credit cycle deterioration in French retail and SME books